

OLLSCOIL NA hÉIREANN, CORCAIGH
THE NATIONAL UNIVERSITY OF IRELAND, CORK

COLÁISTE NA hOLLSCOILE, CORCAIGH
UNIVERSITY COLLEGE, CORK

Examination Session and Year	Winter 2019
Module Code	AC4407
Module Title	Financial Reporting 1
Paper Number	1
External Examiner	Dr Omiros Georgiou
Head of School/ Department	Professor Mark Mulcahy
Internal Examiners	Ms. Eimear McGeown
Instructions to Candidates	Answer ANY TWO out of the four questions in the exam paper. All questions are worth 50 marks in total. Show all workings clearly. This exam is worth 100% of this module. Separate answer books are not required.
Duration of Paper	1.5 hours
Special Requirements	<i>15 minutes reading time is allowed</i> <i>The use of a non-programmable calculator is permitted.</i>

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Question 1

Clock Plc is a large quoted company. Financial details for this company are as follows:

Clock Plc		
TRIAL BALANCE		
as at 31 December 2X19		
	€mn	€mn
Land	2,100	
Buildings at cost	6,200	
Equipment at cost	1,200	
Accumulated depreciation buildings		1,200
Accumulated depreciation equipment		700
Trade receivables	320	
Bank and cash	20	
Inventories at 1 January 2X19	120	
Trade payables		240
Corporation tax	10	
Administration expenses	140	
Distribution costs	120	
Purchases	910	
Bank interest	80	
Revenue		1,800
Ordinary share capital - €1 shares		2,000
Bank loan		1,000
8% €1 Redeemable preference shares		1,000
Share premium account		1,300
Retained earnings as 1 Jan 2X19		1,980
	11,220	11,220

Additional Information:

1. Inventory at 31 December 2X19 amounted to €150 million. Included within this balance are inventory items valued at a cost of €20 million and whose selling price has been reduced to €10 million.
2. The tax charge in the trial balance relates to an under provision of corporation tax for the year ended 31 December 2X18. Taxation for the year ended 31 December 2X19 is estimated to be €30 million.
3. Administration expenses of €20 million were outstanding at 31 December 2X19.

4. Preference dividends are to be accrued.
5. Clock Plc charges a full year's depreciation in the year of acquisition and none in the year of disposal.
6. Depreciation is to be provided as follows: Buildings 2% on a straight line basis and allocated to administration expenses. Equipment at 20% reducing balance basis and allocated to distribution costs.
7. The revenue figure in the trial balance includes €22 million from the sale of an item of equipment on 6/6/2X19. The sale proceeds were lodged in the bank account. The equipment had cost of €30 million on 3 March 2X18.
8. There are no principal repayments due on the bank debt, until 2X22.

Required: In a form suitable for publication under IAS 1, prepare for Clock Plc, the statement of profit or loss and other comprehensive income and the statement of financial position as at 31 December 2X19.

Total 50 Marks

Question 2

This question has two parts, part A and part B.

Part A

Leaf Ltd commissioned the construction of a production plant on 1st January 2X16. It was estimated that this asset would cost €8,000,000 to complete. On 1 January 2X16, Leaf Ltd drew down a bank loan of €8,000,000 to finance the construction of this asset. The interest on the loan was 10% per annum. Leaf Ltd managed to repay the loan on 1st January 2X17 just as the production plant was ready for use.

The plant's useful economic life is estimated at 40 years with a residual value of €600,000 from the 1st January 2X17. The plant was valued by professional valuers each year as follows:

31 st December 2X17	€8,900,000
31 st December 2X18	€9,000,000
31 st December 2X19	€8,000,000

Leaf Ltd prepares financial statements at 31 December each year and adopts the following accounting policies with regards to buildings:

- Depreciation is on a straight line basis;
- Borrowing costs on qualifying assets are to be capitalised;
- Plant is revalued annually;
- Accumulated depreciation on assets is eliminated on revaluation of assets; and
- Unrealised gains on revalued assets are to be transferred to Retained Earnings on disposal of asset.

Required:

For each of the three accounting periods indicated above, show the relevant journal entries necessary to record the above issues with regards to the building and its subsequent revaluation.

(30 marks)

Part B

In your opinion does IAS 16 “*Property Plant and Equipment*” and IAS 40 “*Investment Property*” help the issue of increasing comparability of financial statements? Please explain your answer.

(20 marks)

Total 50 Marks

Question 3

Orange Ltd purchases and resells a single product. Orange Ltd made the following purchases and sales during January to June 2019:

Receipts				Issues
<i>Date</i>	<i>Quantity</i>	<i>Cost per unit €</i>	<i>Total €</i>	<i>Quantity</i>
January	40	10	400	-
February	-	-	-	18
March	20	12	240	-
April	50	14	700	-
June	-	-	-	54

Required:

- (i) Using the above information show how Orange Ltd should value inventory at 30 June 2019 using both the First In First Out (FIFO) method and the Weighted Average cost method. **(20 marks)**
- (ii) Define “inventories” as set out in IAS 2 and describe how inventories should be measured in the financial statements. **(10 marks)**
- (iii) Outline what costs should be included and excluded in inventory valuations. **(6 marks)**
- (iv) Explain why the valuation of inventory is such an important issue for firms and give two examples of how might it be manipulated? **(14 marks)**

Total 50 Marks

Question 4

The following are the Statement of Financial Position of Burns Plc as at 31 December 2X18 and 2X19:

Burns Plc			
Statement of Financial Position as at 31 December:			
	2X19		2X18
	€mn		€mn
Assets			
Non-current assets			
Land	1,000		1,000
Plant & Equipment (Note 1)	1,032		850
Current assets			
Inventories	120		80
Trade Receivables	50		33
Cash	100		20
	<u>2,302</u>		<u>1,983</u>
Equity and Liabilities			
Equity			
Ordinary Share Capital	1,700		1500
Retained Earnings	380		320
Non-current liabilities			
10% Debentures	200		100
Current liabilities			
Trade Payables	20		60
Corporation Tax	2		3
	<u>2,302</u>		<u>1,983</u>

Additional Information:

1. The carrying amount on the Plant & Equipment is made up as follows:

	Cost	Accumulated Depreciation	Carrying Amount (N.B.V.)
	€mn	€mn	€mn
Year end 31 December 2X18	1,000	150	850
Year end 31 December 2X19	1,300	268	1,032

2. Equipment, costing €30 million was sold on 1 November 2X19 for €20 million.
Accumulated depreciation on the equipment was €12 million.
3. Corporation tax charge for the year was €9 million.
4. A government grant of €25 million was received on 1 January 2X19 to assist the purchase of new equipment. The cost of the asset is reduced by the government grant received.
5. Additional debenture loan was all raised on 1 July 2X19.
6. The proposed dividend at 31/12/2X18 was €18 million and at 31/12/2X19 it was €22 million.

Required: In line with IAS 7 “*Cash-flow Statements*” prepare the Statement of Cash-flow for Burns Plc for the year ended 31 December 2X19.

Total 50 Marks

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